

Nominal Returns 1973-2013	T-Bills	Bonds	Stocks	All Seasons	Risk Parity
Returns	5.27%	7.74%	10.21%	9.50%	9.21%
Volatility	0.97%	8.43%	15.57%	8.24%	6.48%
Sharpe	0.00	0.29	0.32	0.51	0.61
Max Drawdown	0.00%	-15.79%	-50.95%	-14.59%	-14.41%

Real Returns 1973-2013	T-Bills	Bonds	Stocks	All Seasons	Risk Parity
Returns	0.99%	3.34%	5.71%	5.04%	4.76%
Volatility	1.24%	8.73%	15.74%	8.56%	6.78%
Sharpe	0.00	0.27	0.30	0.47	0.56
Max Drawdown	0.00%	-44.75%	-54.12%	-28.77%	-24.77%

Real Returns 1973-1981	T-Bills	Bonds	Stocks	All Seasons	Risk Parity
Returns	-0.71%	-5.08%	-3.92%	-2.83%	-2.20%

Real Returns 1982-2013	T-Bills	Bonds	Stocks	All Seasons	Risk Parity
Returns	1.48%	5.85%	8.61%	7.38%	6.82%

Real Returns 1973-2013	T-Bills	Bonds	Stocks	All Seasons	Risk Parity
1970s	-1.55%	-4.23%	-5.26%	-1.39%	-0.74%
1980s	3.81%	7.22%	11.67%	8.54%	8.50%
1990s	1.95%	4.87%	14.71%	6.61%	5.27%
2000s	0.19%	3.92%	-3.38%	4.19%	4.40%
2010s	-1.82%	2.17%	13.73%	6.02%	4.85%
Volatility	2.38%	4.33%	9.78%	3.79%	3.32%

Source: Global Financial Data

In general, the theory behind risk parity makes a lot of sense with one caveat – the biggest challenge to a risk parity portfolio *now* is that we are potentially near the end of a 30-year bull market in bonds. The returns of the actual All Weather fund are better than the allocations above since Bridgewater uses leverage (which is essentially borrowing money to invest more thus magnifying both gains and losses). You can find a blog post comparing the returns of All Weather to a leveraged Global Asset Allocation portfolio in my article [“Cloning the Largest Hedge Fund in the World.”](#)